SUMMARY

QUESTION: When are design fees subject to Florida sales tax?

ANSWER - Based on Facts Below: Fees charged by designers in conjunction with the sales of tangible personal property are a part of the total charge for the tangible personal property and are subject to tax, even when separately itemized and charged to their clients on a cost plus basis. Fees charged by an interior decorator or designer solely for consultation or designing services when no sale of tangible personal property occurs in conjunction with those services are not subject to tax. Examples of fees charged solely for services rendered include designing decorative schemes, advising clients, or recommending colors, paints, wallpaper, fabrics, brands, or sources of supply. Under most circumstances, designers who contract to furnish and install tangible personal property that becomes a part of realty are the ultimate consumers of materials and supplies they use to perform contracts

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Mar 18, 2002

Re: Technical Assistance Advisement 02A-014
Sales Tax - Interior Design Contract
XXX ("Taxpayer")
Sections 212.02(16), 212.05(1), 212.06(1)(a), 212.17, 213.756, F.S.
Rules 12A-1.001(4)(a), 12A-1.006(1) and (12), 12A-1.012(1) and (2), 12A-1.045, 12A-1.051, F.A.C.

Dear :

This is in response to your letter to the Florida Department of Revenue dated May 8, 2001. You asked for a technical assistance advisement confirming that the taxation of your client's "Interior Design Agreement" is in accordance with Florida law.

Facts

Your letter presents the following facts. Your client (hereinafter "Taxpayer") is an interior design firm engaged in design work, including architectural review, general design development, and purchasing. Most, if not all, of its activities are rendered in Florida. You say that clients engage Taxpayer during the pre-construction phase of a residential construction project or at other phases of a home decoration project, either after construction has been completed or to reconfigure and design an existing home.

In subsequent conversation, you advise that the Taxpayer seeks to properly tax a transaction consisting of the provision of design services, the sale of tangible personal property, and the improvement of real property. You note that the taxpayer prefers to present a unified project and in an abundance of caution, collects and remits sales tax on the entire agreement, including design services, the sale of tangible personal property, and the improvement of real property, without paying use tax on materials incorporated into real property improvements.

The Taxpayer and its clients enter into a standard contract called "Interior Design Agreement," a copy of which you have submitted as Exhibit B to your letter. Exhibit C contains a sample proposal," and Exhibit D contains an "invoice." The services provided under the contract are divided into three separates phases. Each phase has an independent pricing structure. Clients may hire the Taxpayer prior to or after Phase I or Phase II, both of which are described below.

Phase I, "Architectural Review Services," is the Taxpayer's review of alternative architectural approaches to the design and construction of a home renovation or initial build-out, including the review of the architectural layout of the proposed project, including room sizes, layouts, interior and exterior elevations, and lighting. The Taxpayer reviews and critiques the architectural plan and approaches. The "Interior Design Agreement" describes Architectural Review as follows:

The Designer shall act as consultant with regard to the following areas pending receipt of a completed set of sealed architectural plans from Client:

* Review overall floor plans for space layout and traffic flow.

* Evaluate room sizes in relation to furniture placement, aesthetics and overall function.

* Evaluate adequacy of natural and artificial light.

* Review all exterior elevations for overall aesthetic appeal and function.

* Assist in designing all interior elevations including, but not limited to arches, columns, plant ledges, ceiling treatments and molding details.

* Provide suggestions for Client to consider regarding any identified architectural problems or shortcomings.

Phase I fees are determined on hourly rates for the professional designers (employees) of Taxpayer providing services to the client as set forth in Schedule A of the Interior Design Agreement. The Phase I fee is payable whether or not the client purchases furniture or otherwise moves forward with Phases II and III.

In Phase II, "General Design Development Services," Taxpayer provides complete interior design for the project, including the design, layout, and furniture plans for each room. Taxpayer assists clients with selecting project builders' specifications, then provides space planning and design development services, including a fully scaled floor plan, and options for picking the desired color scheme and furnishings. At the conclusion of Phase II, Taxpayer presents a proposal to furnish the project site. The sample Taxpayer proposal, enclosed as Exhibit C, includes only lists of furnishings without any description of how installation fees, costs, travel reimbursements, and freight are billed. Once a client approves of the Phase II proposal, the

next phase, Phase III, the purchasing and installation phase, begins.

Design fees charged for Phase II services, which are also payable whether or not the client purchases furniture or otherwise moves forward with Phase III, are based on whether the engagement is pre-construction. For pre-construction Phase II services, the fees typically are set at a dollar amount per square foot of the project. For all other Phase II service arrangements, the design fee is a fixed amount based on the scope of the entire project, instead of a dollar per square foot factor. Generally, Phase II design fees are paid in installments with 1/2 of the Phase II fee payable at the end of Phase I (i.e., when a complete set of architectural plans is delivered). The next installment or 1/4 is generally payable at the midpoint of the completion or substantial completion of the builder specifications. The remaining balance, or 1/4 of the Phase II fees, is due and payable upon the Taxpayer' full theme presentation concluding Phase II.

Phase III is the "Purchasing Services" phase, whereby the Taxpayer enters into contracts for the purchase of furniture, fixtures, and the installation of the same that the client has approved as part of the proposals submitted during Phase II. Where necessary, the Taxpayer hires independent contractors to install the fixtures and real property improvements (cabinets, carpets, etc.) that it sells. The fees for Phase III services are set on a "cost plus" basis (i.e., the Taxpayer's actual costs to purchase the selected furniture and fixtures plus a percentage, e.g., 35% of such costs). Actual costs are defined as the manufacturer's price plus a 10% charge for freight, shipping, receiving, storage, and delivery by the Taxpayer from its main warehouse to the project site. An ancillary portion of Phase III, the "Purchasing Services" phase, is that from time to time an employee of the Taxpayer takes a client to a retail store to assist the client in selecting artwork, accessories, etc. Taxpayer charges for these services on an hourly basis based on a schedule of rates for each professional designer (employee). Invoices are periodically issued as the work and purchases required to be made are effectuated.

With respect to Phase III purchasing fees, Taxpayer separately states Florida sales tax of 6% on its proposals and invoices based on the purchase cost (as defined) and the purchase fee. While the Interior Design Agreement sets forth Florida sales tax on the entire Phase III project price at the time the contract is entered into, the sales tax is actually collected and remitted as separate invoices are issued. Taxpayer collects and remits Florida sales tax from its clients on the entire contract relating to Phase III services, including the amount charged to the client for: (i) the cost and installation of tangible personal property; and (ii) the cost and installation of improving real property. This includes the installation of cabinetry, carpeting, paintings, murals, and other fixtures within the particular dwelling. On all items of tangible personal property purchased by Taxpayer, as part of its performing services under an Interior Design Agreement, it submits a resale exemption certificate to the seller of such property in claiming the applicable exemption from Florida sales tax.

The Interior Design Agreement provides reimbursement to the Taxpayer for authorized travel expenses, expedited delivery services, and reproduction of architectural and working drawings. Reimbursements are separately stated and invoiced as incurred, without a sales tax add-on. All payments under the contract are due within 10 days of the invoice date. Failure to timely pay the balance due on the invoice results in the accrual of interest at the rate of 10% per annum. The agreement provides that all merchandise purchased from Taxpayer is not returnable. However, if Taxpayer agrees to cancellation of an item on an approved proposal, the purchasing fee of 35% plus a 25% restocking fee is due and payable by the Client.

Exhibit B, "Interior Design Agreement," is presented as one agreement with the following parts:

(1) Architectural Review is for review only, not work that would be included in the sale price or cost of tangible personal property.

(2) General Services includes:

1.) Builder Specifications involves selection of items such as hardware, flooring, etc.;
2.) Space Planning & Design Development includes the selection of furnishings, fabrics, wall covering, window treatments, built-ins, lighting, etc.

(3) The Design Fee section states that the design fee is earned in full with execution of the Agreement and is non-refundable if the Client elects not to go forward with the project, but may be paid in the following installments:

1.) 50% upon receipt of a completed set of architectural plans;
2.) 25% upon substantial completion of builder specifications; and
3.) 25% upon full theme presentation.

(4) Purchasing Services are billed for "cost" plus a 35% purchasing fee. "Cost" is defined as the manufacturer's price plus a 10% charge. The Taxpayer charges 6% sales tax on its purchasing service contracts so that sales tax is imposed on the "cost" and the 35% purchasing fee.

(5) Reimbursable Expenses include:

1.) Authorized travel expenses, such as airfare, hotel accommodations, taxi fare, car rental and gasoline, in addition to a per diem of $150.00 per hour with a maximum of $1,000.00 per day;
2.) Client requested specialty delivery services; and
3.) Expense of reproduction of architectural and working drawings.

(6) Miscellaneous provisions include duties of the Taxpayer and Client pursuant to the contract and other common contract provisions.

Exhibit C, "Proposal", shows charges for proposed items of

furniture and accessories with purchasing fee, taxed at 6% of the total cost of the tangible personal property and the purchasing fee. Exhibit D, "Invoice", shows charges for proposed items of furniture and accessories with purchasing fee, taxed at 6% of the total cost of the tangible personal property and the purchasing fee.

Requested Advisements

1. Are decorator fees received by [Taxpayer] for Phase I services[,] where the client does not purchase tangible personal property incident to the contracted services, subject to Florida sales tax? What if the amount of Phase I fees [is] separately stated and is not based on whether any tangible personal property is purchased by the client[,] and the client ultimately purchases tangible personal property pursuant to Phase II and possibly Phase III charges. Do the Phase I fees become taxable? If so, at what time?

2. If [Taxpayer] has previously collected and remitted Florida sales tax for Phase I only services, is it required by the DOR to file a claim for refund (and make required remittances to former clients) with the DOR?

3. Are decorator fees received by [Taxpayer] for Phase II services, where the client does not purchase any tangible personal property incident to the contracted services, subject to Florida sales tax?

4. If [Taxpayer] has previously collected and remitted Florida sales tax for Phase II services where the client did not purchase any items of tangible personal property pursuant to such contract, is it required by the DOR to file a claim for refund (and make required remittances to former clients) with the DOR?

5. As to Phase II (and possibly Phase I) services, must Florida sales tax be collected and remitted to the DOR as payments are made by a client under [an] Interior Design Agreement, without regard to any form of itemization by

[Taxpayer] in the Interior Design Agreement between amounts charged for design fees and related services versus amounts charged for the purchase of tangible personal property and the installation of the same, if one or more items of tangible personal property are in fact purchased and delivered to the client? Does any de minimis rule apply such as where a client cancels a contract after Phase I and Phase II have been completed, and the value of the services rendered was in fact far greater than the charges for furniture purchased? [You give the following example: [S]uppose a client has been charged and paid $15,000 in design fees for Phase I and II services and cancels the Phase III contract after having purchased from [Taxpayer] furniture at a `cost-plus' charge of $1,500? Is the entire $16,500 subject to Florida sales tax?]

6. In the alternative to requested item #5, in the event that [Taxpayer] charges a client for design services, including the purchase of tangible personal property, as well as for any installation charges incident thereto, must 6% of all amounts paid and collected from the client under each contract be timely remitted to the DOR as Florida sales tax?

7. For staged payments made by clients under Phase II and Phase III design fee contracts, when are Florida sales tax payments required to be collected and paid over from client deposits received in advance of invoices? Can such amounts be considered collected and remitted by [Taxpayer] on the date of each invoice?

8. Are all amounts paid by clients to [Taxpayer] under the Interior Design Agreement for tangible personal property and the cost of installation thereon that ultimately are considered to be real property improvements subject to Florida sales tax?

9. Based on the Interior Design Agreement, do [Taxpayer's] purchases of tangible personal property from other vendors on behalf of its clients qualify for a resale exemption certificate?

10. Must [Taxpayer] collect Florida sales tax on freight, insurance and delivery charges [that] are incurred by clients under the Interior Design Agreement?

11. Once an Interior Design Agreement for all three design Phases is entered into by a client and [Taxpayer], can a client direct [Taxpayer] to modify or amend the Agreement so as to reduce the overall impact of Florida sales taxes on the entire contract, i.e. by later having the client enter into a separate real property contract with separately stated labor charges?

12. Are late charges in the form of interest imposed on a client subject to Florida sales tax?

13. As to client cancellation charges required under the Interior Design Agreement, i.e., 35% purchasing fee and 25% restocking fee, are such fees charged by Taxpayer subject to Florida sales tax when collected or are such charges solely for services and not subject to Florida sales tax.

14. Should [Taxpayer] impute a sales tax amount of a client's purchase of tangible personal property when it sends a designer to a retail store with a client and the client purchases tangible personal property directly from such retail store?

The following questions were added in conversation after the submission of the initial request for technical advice:

15. In a situation where the Interior Design Agreement requires that the Taxpayer's client pay a deposit in advance of any purchase of furniture and an invoice is issued to the client in advance of the client's taking delivery and possession of furniture, what sales tax should appear on the invoice and when is it due? Example: The Agreement calls for $80,000.00 for design work and $40,000.00 for furniture purchases (including applicable markup) for a total contract price $120,000.00. The client has remitted a deposit of $30,000.00 for all services and furniture.

Shortly after the Phase II and Phase III work is undertaken, the client is invoiced for furniture having a cost to the client of $400. The invoice date is 1/31. The client subsequently takes delivery of the selected furniture on 3/31. Again, when is the sales tax due and on how much? At this point, is the Florida sales tax determined to be on $120,000, $80,400, $25,400, or some other basis? If the former number is appropriate, what occurs if the client does not complete the contract and the final agreed service fees are $25,000, or alternatively $10,000?

16. In the situation set out in question 15, must the deposit paid by the client be used to remit the tax? What if the deposit is less than the correct sales tax payment?

17. If the Taxpayer takes a client to a retail store to assist the client in selecting artwork, accessories, etc., and the Taxpayer charges for these services on an hourly basis based on a schedule of rates for each professional designer -employee, are such additional fees non-taxable, even where other items of tangible personal property under the Phase II and Phase III design services agreement have or will be purchased?

18. Are travel expenses reimbursed by a client under the Interior Design Agreement subject to Florida sales tax? What if the services rendered under the Agreement were for a client whose residence or office which is being decorated is located outside of Florida?

19. What if the client whose residence is being decorated is located outside of Florida, are any of the Florida sales taxes due on the Interior Design Agreement where all of the furniture to be purchased is acquired from vendors outside of Florida? What if one item of tangible personal property under the same Agreement [was] purchased by the Taxpayer from a Florida manufacturer, does such make the entire contract subject to Florida sales tax? What if the purchase of the tangible personal property by the Taxpayer from the manufacturer is exempt due to the Taxpayer's presentation

of its Florida resale exemption certificate.

20. In order to avoid any issue on whether Florida sales taxes are not due and payable on any portion of an Interior Design Agreement which would otherwise fall within the scope of a "real property contract" or "mixed contract" for the provision of real property improvements, as such terms are defined under the Florida Administrative Code, the Interior Design Agreement is revised to contain the following recital:

> The Designer and Client agree that all purchases of tangible personal property made by the Client from the Designer are subject to Florida sales tax, notwithstanding any exemption from sales tax that may otherwise be extended to the Client in accordance with Florida law. Accordingly, Designer shall collect from Client, the applicable sales tax percentage, i.e., 6% on all of its design fees and charges from Phase II and III services based on the gross sales price.

21. In the situation set out in question 20, may the Taxpayer use its resale certificate in avoiding Florida sales and use tax on all purchases incident to completing Phase II and III service requirements, including those purchases of tangible personal property that could otherwise qualify as part of a "real property contract" or "mixed contract" for the provision of real property improvements?

22. As an alternative to the situation set out in question 20, if the client enters into a contract for design services that is exclusively for real property improvement items (and design services) only, i.e., wallcoverings, carpet, built-in, murals, etc., is the cost of each item taxable to the client? If not, is the Taxpayer in such instance required to pay use tax on the cost of such items? Can the Taxpayer still use its resale exemption certificate to avoid the imposition of Florida sales tax on purchasing the various items of wallcovering, carpet, built-ins, etc.? In such instance, are the design fees non-taxable for Florida sales tax purposes, including any mark-up charged by the

Taxpayer to the client for the cost of the materials and installation?

Law and Discussion

Mixing the provision of services and tangible personal property in the same sale subjects the services to being taxed. The Taxpayer's multi-phase contract links the personal services to the sale of the tangible personal property. The charges for service provided by Taxpayer are not taxable unless they are provided as part of the sale of tangible personal property by Taxpayer to the client.

Sections 212.02(16) and 212.06(1)(a), F.S., provide that every sale of tangible personal property is taxable, **including any services that are a part of the sale**. Rule 12A-1.006(12), F.A.C., states that charges by an interior decorator are exempt from tax when no materials or supplies are used.

Rule 12A-1.001(2)(a), (b), F.A.C., which is in the process of revision for clarification, until the revision is complete, provides:

1. An interior decorator's fee is taxable as part of the selling price under Section 212.02(16), F.S., or as a part of the cost price under Section 212.02(4), F.S., and cannot be exempted as a professional or personal service charge when the transaction involves the sale of tangible personal property. This is true when the fee is paid in the form of a trade discount, as is the case when a supplier grants the decorator a trade discount and the decorator in turn bills the client for the full list price. The decorator fee is also taxable when it appears as an amount added to the decorator's cost when billed to the client for tangible personal property on a cost plus basis.

2. If the decorator's fee is solely for designing the interior and exterior decorative scheme or for advising his clients and recommending colors, paints, wallpaper, fabrics, brands, sources of supply, etc.,

and there is no sale of tangible personal property involved, then such fee would be exempt as a professional or personal service transaction.

3. In some instances, the decorator may receive a fixed sum, which is not in any way contingent upon the sale of tangible personal property to the same client. In such cases the decorator's fee cannot be considered as a part of the selling price of the property sold because there is no connection between the transactions.

4. If the decorator's client reimburses the decorator for the payroll cost of personnel on the decorator's payroll assigned to a specific project, the duties performed by such employees will determine whether or not this item is taxable. For example, if these employees were engaged in painting murals on walls, etc., the charge made for their services is exempt, whereas, if these employees fabricate tangible personal property such as making bedspreads or draperies then the charge for their labor is taxable.

There is language proposed for the purpose of clarifying Rule 12A-1.001(2), F.A.C. As currently published for the amendment process, subject to public comment and further amendment, the proposed language reads:

SERVICE TRANSACTIONS.

(a)1. Fees charged by interior decorators or designers in conjunction with the sales of tangible personal property are a part of the total charge for the tangible personal property and are subject to tax, even when separately itemized and charged to their clients on a cost plus basis.

2. When the sale of tangible personal property by an interior decorator or designer to a client requires the client to purchase consultation or design services, the consultation or design fees are a part of the total charge for the tangible personal property and are subject to tax,

even when the fees are separately itemized and charged to the client.

3. When an interior decorator or designer bills a client for the full list price of the tangible personal property sold and then receives the equivalent of a fee through the decorator's or designer's supplier in the form of a trade discount, the decorator or designer is required to collect tax on the total amount billed to the client.

4. Fees charged by an interior decorator or designer solely for consultation or designing services when no sale of tangible personal property occurs in conjunction with those services is not subject to tax. Examples of fees charged solely for services rendered include designing decorative scheme, advising clients, or recommending colors, paints, wallpaper, fabrics, brands, or sources of supply.

5. A fee charged by an interior decorator or designer is solely for services and not in conjunction with the sale of tangible personal property by the decorator or designer to the same client if all of the following conditions are met:

a. the fee is allocated in the contract to consultation or designing services;
b. the contract provides for separate pricing of any tangible personal property that may be purchased by the client from the decorator or designer;
c. the consultation or design services fee is separately stated from the sales price of any tangible personal property on statements and invoices;
d. the client is obligated to pay the consultation and designing services fee regardless of whether the client purchases any tangible personal property from the decorator or designer under the contract;
e. the client is not obligated to purchase tangible personal property from the decorator or designer;
f. the tangible personal property that is purchased from the decorator or designer is of a type that is routinely purchased without such service;
g. the amount of the consultation fee is not contingent

upon whether the client purchases any tangible personal property from the decorator or designer or upon the sales price of any tangible personal property the client purchases from the decorator or designer.

6. Interior decorators or designers who contract to furnish and install tangible personal property which becomes a part of realty are the ultimate consumers of materials and supplies they use to perform contracts unless the contract is one described in Rule 12A-1.051(3)(d), F.A.C. In the case of all contracts other than those described in that paragraph, the interior decorator or designer should not charge tax to its customers. It should pay tax to its suppliers on all purchases of tangible personal property that will be incorporated into a real property improvement and should not extend an Annual Resale Certificate to make tax-exempt purchases. It should also pay tax on all materials it fabricates for its own use in performing such contracts. If the interior decorator or designer uses a subcontractor to install tangible personal property, the subcontractor is responsible for paying tax on materials and supplies purchased and used by the subcontractor as provided in Rule 12A-1.051, F.A.C. supplies furnished by the interior decorator or designer, the decorator or designer is responsible for paying tax due on the materials and supplies furnished to the subcontractor. See Rule 12A-1.051, F.A.C., for guidance on the taxation of real property contractors and subcontractors.

Regardless of whether Taxpayer's design/architectural review fee is calculated as a lump sum or on an hourly basis, its taxability depends on whether Taxpayer sells tangible personal property in conjunction with the design.

The Taxpayer is obligated to collect and remit the tax on the design fee at the moment of sale of the tangible personal property, regardless of whether the customer pays immediately or over time. Taxpayer is entitled to a refund or credit of the tax collected and remitted on cancellation of the order and presentation of proof of refund of the tax to the customer, as long as the cancellation is within the statute of limitations.

Section 212.06(1)(a), F.S., provides that tax at the rate of 6 percent of the retail sales price is due as of the moment of sale, collectible from all dealers on the sale at retail in this state of tangible personal property or services taxable under Chapter 212, F.S. Section 212.02 (15) (a), F.S., provides that "Sale" means any transfer of title or possession, or both, conditional or otherwise, of tangible personal property for a consideration. The full amount of the tax on a credit sale, installment sale, or sale made on any kind of deferred payment plan shall be due at the moment of the transaction in the same manner as on a cash sale.

In the case of the Taxpayer's transactions, when the sale occurs will depend on the terms of the agreement. If the purchase agreement requires the client to approve all of the tangible personal property furnished, even if the property is furnished over time, the tax is due when the client approves and accepts it. Otherwise, tax is considered to be imposed when the client is invoiced for the tangible personal property and that property has been delivered to the purchaser's location. Tax is not imposed at the time that the deposits or down payments are made. However, the amount of tax applicable to the down payment or deposit will be due upon the delivery of the tangible personal property. The entire amount of the design fee is taxable at the time of the first sale of tangible personal property, the sales price of which includes that service.

Section 212.17(1)(a) and (c), F.S., provides that when there is a return of merchandise after the tax has been collected on that sale and the purchase price and sales tax has been refunded to the customer, the dealer is entitled to reimbursement of the amount of tax refunded to the purchaser by the dealer.

Rule 12A-1.012(1) and (2), F.A.C., interprets the statute and provides that the full amount of tax on credit sales, installment sales, or sales made on any kind of deferred payment plan is due at the moment of the transaction in the same manner as a cash sale. The rule explains that the credit or refund is based on the ratio that the total tax bears to the unpaid balance of the sales price, excluding finance or other non-

taxable charges, as reflected in the sales contract.

Section 213.756, F.S., provides that funds collected from a client are state funds from the moment of collection and are not subject to refund to the seller absent proof that they have been refunded to the client. In the event that tax is charged on design fees but tangible personal property contemplated by the contract is not ultimately sold to the client, the tax on the fee may be refunded to Taxpayer upon presentation of proof that it has been refunded to the client.

While the sale of tangible personal property is taxable, real property improvement is not taxable to the customer. The real property contractor is responsible for tax on materials used, because the contractor is the ultimate consumer of those materials. See Rule 12A-1.051(4), F.A.C.

Rule 12A-1.051(2)(h), F.A.C., states where relevant:

> 1. "Real property contract" means an agreement, oral or written, whether on a lump sum, time and materials, cost plus, guaranteed price, or any other basis, to:
>
> a. Erect, construct, alter, repair, or maintain any building, other structure, road, project, development, or other real property improvement;

In this case, Taxpayer should neither charge its clients tax for real property improvements nor should it give resale certificates to its vendors for materials and supplies used in its real property improvements, unless the transaction qualifies as a "retail sale plus installation" agreement under Rule 12A-1.051(3)(d), F.A.C., or is a mixed contract for the provision of real property improvement and tangible personal property under Rule 12A-1.051(8)(d), F.A.C.

To the extent that the Taxpayer, as real property improvement contractor or its subcontractor, treats the transaction as though it were a sale of tangible personal property, giving a resale certificate when obtaining the materials and charging the client sales tax on the real property improvement, the Taxpayer

or its subcontractor remains liable for failure to pay use tax on the materials.

Rule 12A-1.051(8)(d), F.A.C., provides that if a mixed contract for the provision of real property improvement and tangible personal property clearly allocates the contract price among the various elements of the contract, and such allocation is bona fide and reasonable in terms of the costs of materials and nature of the work to be performed, taxation will be in accordance with the allocation. For example, a residential developer builds and sells a home on a cost plus basis, but the contract provides separately stated prices for the sale and installation of certain optional free standing appliances that are tangible personal property and are not classified as real property fixtures. The contractor may purchase those appliances using a resale certificate and charge sales tax on the price paid for the appliances, including installation, by the home buyer. The contractor is responsible for paying tax on all the materials that are included in the cost plus price of the home, other than the separately itemized appliances. If Taxpayer's contract is mixed, and it is primarily for the provision of tangible personal property, the entire value of the contract could be taxed as though it is one for the sale of tangible personal property. However, if the various parts of the transactions are clearly allocated, taxation will be in accordance with the allocation.

Rule 12A-1.006(1)(a),(4), F.A.C., provides in part:

> (1)(a) Where parts are furnished by the repairer, the entire charge the repairer makes to a customer for adjusting, applying, installing, maintaining, remodeling, or repairing tangible personal property is taxable, except as otherwise provided in paragraph (b) of this subsection.
>
> . . .
>
> (4) Except as otherwise provided in paragraph (b) of subsection (1), charges for repairs of tangible personal property which require labor or service only are taxable unless the repairer (dealer) can establish by evidence in the dealer's records that the dealer furnished no tangible personal property which was incorporated into or attached

> to the repaired item. It is immaterial that the cost of the material furnished is insignificant when compared to the cost of the labor involved....

If Taxpayer sells tangible personal property and pays a third party to install it, and it remains tangible personal property after installation, it is likely that the labor charges will be taxable unless the installer can prove that no tangible personal property was used in the installation.

Rule 12A-1.045, F.A.C., provides that the charge for transportation services is not subject to tax when the charge is separately stated on an invoice or bill of sale and the charge can be avoided by a decision or action solely on the part of the purchaser. It appears that the freight charges are not separately stated in the case of this contract. They are part of an overall 10% fee related to the value of the tangible personal property that covers freight, shipping, receiving, storage, and delivery by Taxpayer. As such, they are taxable under Sections 212.02(16) and 212.06(1)(a), F.S.

With respect to the reimbursed expenses for travel, the taxable "sales price" of tangible personal property as defined in Section 212.02(16), F.S., is "the total amount paid... without deduction therefrom on account of the cost of the property sold, the cost of materials used, labor or service cost, interest charged, losses, or any expense whatsoever". As part of performing the contract and selling tangible personal property, Taxpayer incurs travel and lodging costs which are passed through as part of the pricing. Taxpayer cannot deduct these costs and remove them from the sales price just because they are separately stated.

Section 212.06(5)(a)1., F.S., provides that it is not the intention of this chapter to tax tangible personal property produced or manufactured in this state for export, as long as the exporter or manufacturer delivers it to a licensed exporter or to a common carrier for shipment outside the state or mails the it by United States mail outside of the state. Rule 12A-1.064, F.A.C., interprets the statute and sets out how to document such a sale in order to avoid the tax.

Advisement

1. Decorator fees received by Taxpayer for Phase I services where the client does not purchase tangible personal property incident to the contracted services are not subject to Florida sales tax. See Sections 212.02(16) and 212.06(1)(a), F.S.; Rules 12A-1.006(12) and 12A-1.001(4)(a) 2. and 3., F.A.C. If the amount of Phase I fees is separately stated and is not based on whether any tangible personal property is purchased by the client, and the client ultimately purchases tangible personal property pursuant to Phase II and possibly Phase III charges, the Phase I fees would become taxable only if those services are part of the sale of the tangible personal property. If that were the case, the services would be taxable at the time of the sale of the tangible personal property as described above. In later conversation, you advise that the Taxpayer does not sell the tangible personal property mentioned in Phase I (that is, arches, columns, plant ledges, ceiling treatments or molding details.) Under these circumstances, the Phase I Architectural Review fees are not subject to tax because they are not part of the sales price of any tangible personal property.

2. If Taxpayer has previously collected and remitted Florida sales tax for Phase I when the services were not part of the sale of the tangible personal property, the tax on the fee may be refunded to Taxpayer upon presentation of proof that it has been refunded to the client. Section 213.756, F.S., provides that funds collected from a client are state funds from the moment of collection and are not subject to refund to the seller absent proof that they have been refunded to the client.

3. Decorator's fees received by Taxpayer for Phase II services where the client does not receive title to, or possession of, any tangible personal property transferred by Taxpayer, are not subject to sales tax. See Sections 212.02(16) and 212.06(1)(a), F.S., Rule 12A-1.001(4)(a), (b), F.A.C.

4. If Taxpayer has previously collected and remitted Florida sales tax for Phase II decorator fees in a contract where no tangible personal property was sold, the same law and procedure as set out in paragraph 2, above, apply.

5. As to Phase II (and possibly Phase I) services, all of the Florida sales tax is due on the price of the tangible personal property and the design fees that are part of the sale at the time of the sale, as described above, without regard to when payments are received, any form of itemization, and any distinction between charges for design fees and related services and charges for sales of tangible personal property. De minimis charges are not relevant to an example involving a $15,000 design fee and furniture purchased on a cost plus basis for $1,500. If the design fee is part of the sale of the furniture, the entire $16,500 is subject to tax, because the design fee is part of the taxable sales price of the tangible personal property. This kind of absurd result is easily avoided where the agreement is drafted to avoid such a result.

6. In the alternative to the request set out in question 5, in the event that the Taxpayer charges a client for design services "that include the purchase of tangible personal property," as well as any installation charges incident thereto, at the time of the sale of the tangible personal property, 6% of all amounts charged to, rather than amounts paid or collected from, the client under each contract must be timely remitted to the Florida Department of Revenue as sales tax. It should be noted, however, that the law does not, as the Taxpayer asserts, tax design services "that include the purchase of tangible personal property," but rather taxes the purchase price of tangible personal property that includes design services. Sections 212.06(1)(a) and 213.756, F.S.

7. For staged payments made by clients under Phase II and Phase III design fee contracts, the law requires that Florida sales tax be collected and remitted in full whenever there is a sale of the tangible personal property. As set forth above, when the sale occurs will depend on the

terms of the agreement. If the purchase agreement requires the client to approve all of the tangible personal property furnished, even if the property is furnished over time, the tax is due when the client approves and accepts it. Otherwise, tax is considered to be imposed when the client is invoiced for the tangible personal property and that property has been delivered to the purchaser's location. Tax is not imposed at the time that the deposits or down payments are made. However, the amount of tax applicable to the down payment or deposit will be due upon the delivery of the tangible personal property. The entire amount of the design fee is taxable at the time of the first sale of tangible personal property, the sales price of which includes that service. Using client deposits received in advance of sale or billing to pay sales tax is a decision between the decorator and the client rather than a matter of tax law. See Sections 212.02(15)(a), 212.06(1)(a), 213.756, F.S.

8. Amounts paid by clients to Taxpayer under the Interior Design Agreement for tangible personal property and the cost of installation thereon are not subject to Florida sales tax if they are for real property improvements, unless the taxpayer treats the Agreement as a mixed contract for real property improvement and provision of tangible personal property, the predominant nature of which is for tangible personal property. Rule 12A-1.051(8)(d), F.A.C.

9. Based on the Interior Design Agreement, Taxpayer's purchases of tangible personal property from other vendors on behalf of its clients qualify for resale exemption, as long as Taxpayer does not purchase the items to consume itself in real property improvement (unless part of a mixed contract qualifying as one for provision of tangible personal property) on behalf of its client. Rule 12A-1.051(8)(d), F.A.C.

10. Taxpayer must collect Florida sales tax on freight, insurance, and delivery charges that are charged to clients under the Interior Design Agreement, because they are part

of the cost of the item and because the client has no role in the selection of the provider of these services. Rule 12A-1.045, F.A.C.

11. Once an Interior Design Agreement for all three design phases is entered into by a client and Taxpayer, a client cannot have Taxpayer modify or amend the Agreement so as to reduce the overall impact of Florida sales taxes on the entire contract for any purpose, "i.e. by later having the client enter into a separate real property contract with separately stated labor charges."

12. Late charges in the form of interest imposed on a client are not subject to Florida sales tax. They do not meet the definition of charges for a taxable transaction, because they do not involve the transfer of title or possession of tangible personal property. Section 212.06(1)(a), F.S.

13. As to client cancellation charges required under the Interior Design Agreement, i.e., 35% purchasing fee and 25% restocking fee, such fees charged by Taxpayer are solely for services, do not meet the definition of a taxable sale, a transfer of title or possession of tangible personal property, and are not subject to Florida sales tax, as long as such fees are separately described and billed. Section 212.06(1)(a), F.S.

14. Taxpayer should not impute a sales tax amount to a customer's purchase of tangible personal property when it sends a designer to a retail store, with a client and the customer purchases tangible personal property directly from such retail store because Taxpayer did not sell this tangible personal property to the customer. Under the facts proffered, the retail store would collect and remit sales tax on what it sells as a result of this visit. Nor should any fees charged by Taxpayer for accompanying the customer be taxed, because this is a nontaxable service as long as such fees are separately described and billed.

15. In a situation where the Interior Design Agreement requires that the Taxpayer's client pay a deposit in advance of any

purchase of furniture, and an invoice is issued to the client in advance of the client's taking delivery and possession of furniture, sales tax should appear on the invoice on the price and the design fee, unless the design fee has been billed and taxed on a separate invoice. The tax is due on sale to the customer as described in the response to question 7. In the example: Where the Agreement calls for $80,000.00 for Phase II design work and $40,000.00 for furniture purchases including applicable markup for a total contract price of $120,000.00. The client has remitted a deposit for all services and furniture. Shortly after Phase II and Phase III work is undertaken, the client is invoiced for furniture having a cost to the client of $400.00. The invoice date is 1/31. The client subsequently takes delivery of the selected furniture on 3/31. No tax is due on the Phase II services as long as the following requirements are met: design fees are separately stated; they are allocated in the contract to design only; the amount of the design fee is not contingent on the purchase of tangible personal property; the design agreement does not require the purchase of tangible personal property; and the contract provides for separate pricing of tangible personal property. Tax is on the $40,000.00 purchase price of the furniture and any Phase II or III services, whatever price they turn out to command, either $25,000.00 or $10,000.00, that fail the seven part test for being disassociated from the sale of the tangible personal property. The tax is due on delivery and acceptance on 3/31, regardless of the size of any deposit or when such deposit is remitted. Section 212.06(1)(a), F.S.

16. In the situation set out in question 15, the deposit could be used to remit the tax if no other funds are available, because the tax is due at the moment of sale. Section 212.06(1)(a), F.S. The Department has no authority to dictate the source of funding for the tax remitted. If the Taxpayer and its client have a deposit available for the purpose of remitting sales tax, the Department has no requirement that it be used or not used. The Department is charged with the responsibility of requiring that tax be

remitted when the sale occurs. Since the Taxpayer is responsible for collecting and remitting sales tax, the Taxpayer would be wise to make certain that funds are available for the purpose when due.

17. If the Taxpayer takes a client to a retail store to assist the client in selecting artwork, accessories, etc., and the Taxpayer charges for these services on an hourly basis based on a schedule of rates for each professional designer (employee), these fees are not taxable as long as the billing for these services is clear and unless the Taxpayer and not the Taxpayer's client orders the tangible personal property. If the Taxpayer is making the purchases for its client, then the hourly fees are taxable as services that are part of the sale. Sections 212.02(16) and 212.06(1)(a), F.S. If this service is not taxable, its non-taxability is not affected if Phase II and III design fees are taxed as part of the sales price of other tangible personal property.

18. Taxpayer is not permitted to remove its travel costs from the taxable sales price of the tangible personal property by treating them as separately reimbursed costs. Sections 212.02(16) and 212.06(1)(a), F.S. If no tangible personal property delivered pursuant to the contract is ever in Florida, no design fee is taxable. In order for the design fee to be taxable, there must be a taxable sale of tangible personal property, meaning that it must become part of the general mass of the property of this state.

19. Much of this question is answered in paragraph 19. If one item is purchased from a Florida manufacturer for export out of Florida, by common carrier, it is not considered a Florida sale and tax is not due on the sale or the design fee. If the purchase is for delivery in Florida, it is a Florida sale and would render any services that are part of the sale, such as a design fee, no matter how large, taxable. The use of a resale certificate is not relevant to the taxability of this type of transaction as between the Taxpayer and its client.

20. You set out additional facts for consideration:

> In order to avoid any issue on whether Florida sales taxes are not due and payable on any portion of an Interior Design Agreement which would otherwise fall within the scope of a "real property contract" or "mixed contract" for the provision of real property improvements, as such terms are defined under the Florida Administrative Code, the Interior Design Agreement is revised to contain the following recital:
>
> > The Designer and Client agree that all purchases of tangible personal property made by the Client from the Designer are subject to Florida sales tax, notwithstanding any exemption from sales tax that may otherwise be extended to the Client in accordance with Florida law. Accordingly, Designer shall collect from Client, the applicable sales tax percentage, i.e., 6% on all of its design fees and charges from Phase II and III services based on the gross sales price.

21. In the situation set out in question 20, the Taxpayer may not use a resale certificate. This transaction does not meet the requirements of a sale for resale. The Taxpayer owes use tax on all materials consumed in its real property improvement contracts whether or not it mistakenly charges tax to its clients that they do not owe.

22. If the client enters into a contract for design services that is exclusively for real property improvement and design services only, i.e. wallcoverings, carpet, built-in, murals, etc., the cost of each item is not taxable to the client. The Taxpayer is required to pay use tax on each item. No resale certificate should be used since this is not a sale for resale. The design fees are not taxable. Any markup charged to the client would simply be another of the costs that determine the total cost of the real property improvement to the client, just as the use tax that the Taxpayer has paid on the materials that it consumed in the real property improvement , i.e. wallcoverings, carpet, built-in, murals, etc., are costs the make up the contract

price.

This response constitutes a Technical Assistance Advisement under Article 213.22, F.S., which is binding on the Department only under the facts and circumstances described in the request for this advice, as specified in Article 213.22, F.S. Our response is predicated on those facts and the specific situation summarized above. You are advised that subsequent statutory or administrative rule changes, or judicial interpretations of the statutes or rules upon which this advice is based, may subject similar future transactions to a different treatment than expressed in this response.

You are further advised that this response, your request, and related backup documents are public records under Chapter 119, F.S., and are subject to disclosure to the public under the conditions of Article 213.22, F.S. Confidential information must be deleted before public disclosure. In an effort to protect confidentiality, we request you provide the undersigned with an edited copy of your request for Technical Assistance Advisement, the backup material, and this response, deleting names, addresses, and any other details which might lead to identification of the Taxpayer. Your response should be received by the Department within 15 days of the date of this letter.

Sincerely,

Karen Kugell
Senior Attorney
Technical Assistance and Dispute Resolution
(850) 922-4834

KK/
Enclosure: Rule 12A-1.039, F.A.C.
Control #: 45232

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12A-1.039 Sales for Resale.

(1)(a) It is the specific legislative intent that each and

every sale, use, storage, consumption, or rental is taxable, unless such sale, use, storage, consumption, or rental is specifically exempt. The exempt nature of the transaction must be established by the selling dealer.

(b) A sale for resale is exempt from the tax imposed by Chapter 212, F.S., only when the sale for resale is in strict compliance with the provisions of this rule. For purposes of this rule, a "sale for resale" includes the following sales, leases, or rentals when made to a person who is an active registered dealer. This is not intended to be an exhaustive list.

1. The sale of tangible personal property to a dealer when such property will be resold to the dealer's customers.

2. The sale, lease, or rental of tangible personal property to a dealer when such property will be held exclusively for leasing or rental purposes, pursuant to Rule 12A-1.071(2)(a), F.A.C.

3. The sale of taxable services identified in Rule 12A-1.0161(1), F.A.C., to a dealer when such services are being resold to the dealer's customers under the conditions stated in Rule 12A-1.0161(4), F.A.C.

4. The lease or rental of real property to a dealer when such property will subsequently be leased, rented, or licensed by the dealer's tenants.

5. The lease or rental of real property to a dealer when such property will subsequently be leased, rented, or licensed as transient accommodations by the dealer's tenants.

6. The sale of tangible personal property to a dealer when such property will be incorporated as a material, ingredient, or component part of tangible personal property that is being produced for sale by manufacturing, processing, or compounding.

7. The sale of inserts of printed materials that are distributed as a component part of a newspaper or magazine, as provided in s. 212.05(1)(h), F.S.

8. The sale of tangible personal property to a repair dealer, when such property will be incorporated into and sold as part of a repair of tangible personal property by such dealer.

9. The alteration, remodeling, maintenance, adjustment, or repair of tangible personal property (when labor and materials are provided) that is held in inventory for resale or exclusively for leasing purposes by a dealer.

(c) For purposes of this rule, "active registered dealer" means a person who is registered with the Department as a dealer for sales tax purposes and who is required to file a sales and use tax return during each applicable reporting period, as provided in s. 212.11(1), F.S.

(2) ANNUAL RESALE CERTIFICATES ISSUED BY THE DEPARTMENT.

(a) For each calendar year, the Department of Revenue will issue to each active registered dealer an Annual Resale Certificate (form DR-13). A newly registered dealer will receive a Sales and Use Tax Certificate of Registration (form DR-11) and an Annual Resale Certificate. The business name and location address, the registration effective date, and the certificate number will be indicated on the Annual Resale Certificate.

(b) Dealers who lose their Annual Resale Certificate may request a replacement by contacting the Department at 1-800-352-3671. Persons with hearing or speech impairments may call the Department's TDD, at 1-800-367-8331. Written requests should be addressed to Central Registration, Florida Department of Revenue, 5050 West Tennessee Street, Building E, Tallahassee, Florida 32399-0100.

(3) Except as provided in subsection (4), a dealer making a sale for resale is required to document the exempt sale by CHOOSING ONE of the following three methods:

(a) COPIES OF ANNUAL RESALE CERTIFICATES OBTAINED BY THE SELLING DEALER. The selling dealer who makes a tax exempt sale for the purposes of resale must obtain a copy of the purchaser's current Annual Resale Certificate, or a Transaction Resale Authorization Number or Vendor Resale Authorization Number issued by the Department.

1. The copy of the Annual Resale Certificate must be signed by the purchaser or the purchaser's authorized representative.

2. A selling dealer may make sales for resale to a purchaser whose current Annual Resale Certificate is on file without seeking a new Annual Resale Certificate for each subsequent transaction during that calendar year. A new Annual Resale Certificate must be obtained each calendar year. Except for sales made to purchasers who purchase on account from the dealer on a continual basis, a selling dealer may only make exempt sales for resale to purchasers during the calendar year for which the purchaser's Annual Resale Certificate appears valid on its face.

3. For sales made to purchasers who purchase on account from a dealer on a continual basis, the selling dealer may rely upon the Annual Resale Certificate beyond the expiration date of the certificate and is not required to obtain a new Annual Resale Certificate each calendar year. For purposes of this paragraph, the phrase "purchase on account from a dealer on a continual basis" means that the selling dealer has a continuing business relationship with a purchaser and makes recurring sales on account to that purchaser in the normal course of business. For purposes of this paragraph, a sale "on account" refers to a sale where the dealer extends credit to the purchaser and records the debt as an account receivable, or where the dealer sells to a purchaser who has an established cash or C.O.D. account, similar to an "open credit account." For purposes of this paragraph, purchases are made from a selling dealer on a "continual basis" if the selling dealer makes sales to the purchaser no less frequently than once in every twelve month period in the normal course of business.

(b) TRANSACTION RESALE AUTHORIZATION NUMBER ISSUED AT POINT-OF-SALE - VALID FOR SINGLE TRANSACTION ONLY. When making a tax exempt sale for the purposes of resale, the selling dealer may obtain a Transaction Resale Authorization Number from the Department in lieu of obtaining a copy of an Annual Resale Certificate from the purchaser or a Vendor Resale Authorization Number from the Department.

1. A "transaction resale authorization number" must be obtained by the selling dealer at the point-of-sale through use of an automated nationwide toll-free telephone verification system. The nationwide toll-free number to access the system is 1-877-357-3725.

2. The selling dealer must key in the purchaser's sales tax certificate of registration number through use of a touch-tone phone. The system will either issue a 13 digit transaction resale authorization number or alert the selling dealer that the purchaser does not have a valid resale certificate. Callers who do not have a touch-tone phone will be connected to a live operator. Persons with hearing or speech impairments may call the Department's TDD, at 1-800-367-8331.

3. A transaction resale authorization number is not valid to exempt subsequent resale purchases or rentals made by the same purchaser. A selling dealer must obtain a new transaction

resale authorization number for each and every resale transaction.

4. The selling dealer must document the transaction resale authorization number on the sales invoice, purchase order, or a separate form that is prepared by either the purchaser or the selling dealer. The sales invoice, purchase order, or separate form must contain the following statement: "The purchaser hereby certifies that the property or services being purchased or rented are for resale." This statement must be followed by the signature of the purchaser. The signature may be obtained by the selling dealer through use of an electronic signature pad or other electronic method.

5. Alternatively, in lieu of meeting the requirements of subparagraph 4., the transaction resale authorization number may be documented on a properly completed Uniform Sales and Use Tax Certificate-Multijurisdiction, as provided in subsection (8) of this rule.

(c) VENDOR RESALE AUTHORIZATION NUMBER FOR REGULAR CUSTOMERS WHO HAVE PREVIOUSLY SUBMITTED DOCUMENTATION TO THE SELLING DEALER - VALID FOR CALENDAR YEAR ISSUED. When making a tax exempt sale for the purposes of resale, the selling dealer may obtain a Vendor Resale Authorization Number from the Department, in lieu of obtaining a Transaction Authorization Number or a copy of the purchaser's Annual Resale Certificate. This option is available to selling dealers throughout the calendar year without limitation.

1. The "Vendor Resale Authorization Number" is a customer-specific authorization number that will be valid for all sales for resale made to a particular customer during the calendar year.

2. To obtain vendor resale authorization numbers, the selling dealer must send to the Department, using an electronic medium, a list of the dealer's regular customers for which the dealer has a resale certificate number or outdated Annual Resale Certificate on file. The request may be submitted on form DR-600013, Request for Verification that Customers are Authorized to Purchase for Resale, or by providing the following information: date of request; name of the dealer's business; return address; name and telephone number of a contact person. The written request, or completed form DR-600013, should be forwarded to: Florida Department of Revenue, Production Control,

G30 Carlton Building, Tallahassee, Florida 32399-0100. The electronic format for sending the customer data is provided in form DR-600013 and may be obtained from the Department's web site at http://www.myflorida.com/dor/ or by calling the Department at (850)488-3516. In response to this request, the Department will issue to the selling dealer, using the same electronic medium, a list containing a unique vendor resale authorization number for each customer who is an active registered dealer.

3. The selling dealer may make exempt sales for resale to a customer during the period in which the vendor resale authorization number for that customer is valid. Vendor resale authorization numbers are valid for the remainder of the calendar year during which they are issued. However, vendor resale authorization numbers issued by the Department in November or December shall be valid for the remainder of the current calendar year and the next calendar year.

(4) SALES OF ALCOHOLIC BEVERAGES AND CERTAIN MOTOR VEHICLES; SALES TO OUT-OF-STATE DEALERS.

(a) The sale of alcoholic beverages by distributors licensed by the Division of Alcoholic Beverage and Tobacco, Department of Business and Professional Regulation, to others who are also licensed by the Division of Alcoholic Beverage and Tobacco, Department of Business and Professional Regulation, are deemed to be sales for resale. The distributors are not required to meet the documentation requirements provided in subsection (3) of this rule.

(b) The sale of motor vehicles or recreational vehicles through a motor vehicle auction licensed by the Department of Highway Safety and Motor Vehicles, pursuant to s. 320.27(1)(c)4., F.S., to other motor vehicle dealers licensed by the Department of Highway Safety and Motor Vehicles under s. 320.27(2), F.S., are deemed to be sales for resale. The motor vehicle auction is not required to meet the documentation requirements provided in subsection (3) of this rule.

(c) A sale to a nonresident dealer who is not required to be registered in this state for resale outside this state is governed by Rule 12A-1.064(2)(b), F.A.C., or Rule 12A-1.007(6), F.A.C. However, blanket resale affidavits from out-of-state motor vehicle dealers are acceptable in lieu of individual affidavits in Rule 12A-1.007(6), F.A.C., for each sale of each

motor vehicle to such out-of-state motor vehicle dealers.

(5) BURDEN OF ESTABLISHING EXEMPT NATURE OF SALES FOR RESALE

(a) A selling dealer who makes a sale for resale in good faith, and who complies with the requirements of subsections (3) and (4) of this rule, has met the burden of proof for establishing the exempt nature of the sale, and is relieved from any liability for tax due on that sale. Submission of copies of Annual Resale Certificates to the Department that are obtained after the sale from purchasers who were active registered dealers at the time of the sale will be considered sufficient compliance with subsection (3) when submitted during audit or protest, but will not be acceptable if submitted during any proceeding under Chapter 120, F.S. or in any circuit court action under Chapter 72, F.S.

(b)1. A sale that is not in compliance with the requirements of subsections (3) and (4) of this rule is presumed to be a retail sale, and the selling dealer will be liable for any applicable sales tax not collected and remitted on that sale.

2. For a sale that is not in compliance with the requirements of subsections (3) and (4), but that is made to a person who was an active registered dealer at the time of the sale, and it would be reasonable to assume, based on the nature of the purchaser's business, that the sale was for the purposes of resale, the presumption that the sale is a retail sale can be overcome during an audit or protest.

3. A sale made to a person who was not an active registered dealer, other than a nonresident dealer, at the time of the transaction is a retail sale, and can never be considered a sale for resale. However, a selling dealer who accepts an Annual Resale Certificate that appears valid on its face will not be held liable for any tax due on this transaction, if it is later determined that the purchaser was not an active registered dealer at the time of the transaction.

(6) RECORDS REQUIRED. Resale certificates created and issued by purchasers that were based on the Department's suggested format provided in Rule 12A-1.039, F.A.C., effective 12-13-94, are valid only for the purpose of documenting sales for resale made prior to February 1, 2000. The selling dealer must also maintain copies of receipts, invoices, billing

statements, or other tangible evidence of sales, copies of Annual Resale Certificates and other certificates, and Vendor Resale Authorization and Transaction Authorization Numbers until tax imposed by Chapter 212, F.S., may no longer be determined and assessed under s. 95.091(3), F.S. Electronic storage by the selling dealer of the copy of the Annual Resale Certificate or other required documentation through use of imaging, microfiche, or other electronic storage media will be sufficient compliance with the provisions of this subsection.

(7) PROVISIONS APPLICABLE TO PERSONS CLAIMING THE RESALE EXEMPTION.

(a) Annual Resale Certificates may only be used by purchasers who hold a valid Sales and Use Tax Certificate of Registration (form DR-11) issued by the Department, and whose registration status is currently active. For dealers who have been in business for less than the full calendar year, the effective date of the Annual Resale Certificate (form DR-13) will be the postmark or hand delivered date of the Sales and Use Tax Application for Certificate of Registration. The effective date is found in the block labeled "Registration Effective Date" on the Sales and Use Tax Certificate of Registration (form DR-11).

(b) A dealer whose Sales and Use Tax Certificate of Registration has been revoked or whose registration status has been inactivated or canceled by the Department is prohibited from purchasing, leasing, or renting taxable property or services for the purposes of resale exempt from tax. However, a selling dealer who accepts an Annual Resale Certificate that appears valid on its face will not be held liable for tax on this transaction, if it is later determined that the purchaser was not an active registered dealer at the time of the transaction.

(c) A purchaser who files returns on a consolidated basis (80 code) may extend, and the selling dealer may accept, a copy of the Annual Resale Certificate bearing the purchaser's consolidated sales tax registration number (80 code number), in lieu of extending a copy of the Annual Resale Certificate for each active location that is reported under the consolidated sales tax registration number (80 code number).

(d) For dealers who report sales tax using a county-control number, the Annual Resale Certificate will only be issued to the

active reporting number(s) within each county. Dealers who report using a county-control number must use the Annual Resale Certificate issued to the active reporting number(s) to make purchases for resale, except dealers who file returns under a consolidated sales and use tax registration number (80 code). Sales tax numbers issued to the individual locations within a county are inactive, and will not be issued an Annual Resale Certificate.

(e) Wholesalers and certain other sales tax dealers who are currently on an inactive reporting status will need to contact the Department at 800-352-3671 (Florida only) or 850-488-6800 (outside Florida) to have their sales tax registration number activated in order to obtain the Annual Resale Certificate and make exempt purchases for resale. By activating the sales tax registration number, the dealer will then be required to file a sales tax return during each applicable reporting period, as provided in s. 212.11(1), F.S.

(f) Purchasers who are holders of a Direct Pay Permit, Temporary Tax Exemption Permit, or other permits or exemption certificates issued pursuant to Chapter 212, Florida Statutes, are not required to extend or provide copies of their Annual Resale Certificate to the selling dealer to make tax exempt purchases authorized under the Direct Pay Permit, Temporary Tax Exemption Permit, or other exemption certificates or permits issued pursuant to Chapter 212, F.S.

(g) Purchasers of vessels and parts thereof used to transport persons or property in interstate or foreign commerce must complete the affidavit as required in Rule 12A-1.064(5), F.A.C.

(h) A person who complied with the provisions of this rule when making a purchase or rental of tangible personal property that is intended for resale, but then uses, consumes, distributes, or stores for use or consumption in this state, the tangible personal property in a manner inconsistent with the purposes described in paragraph (1)(b) of this rule, is required to pay use tax as provided in s. 212.05(1)(b), F.S.

(i) Any person who, for the purpose of evading tax, uses an Annual Resale Certificate or signs a written statement claiming an exemption from sales tax knowing that tax is due on the property or services at the time of purchase or rental, is subject to the civil and criminal penalties provided in s.

212.085, F.S.

(j) The resale exemption shall also apply to the importation of tangible personal property into this state for resale in this state. A dealer who imports tangible personal property into this state for resale must be an active registered dealer at the time the property is imported into this state to meet the resale exemption requirements. The determination whether a particular item of tangible personal property imported into this state is for resale is based on the same criteria described in paragraph (1)(b) of this rule.

(8) USE OF UNIFORM SALES AND USE TAX CERTIFICATE - MULTIJURISDICTION. The Department will allow purchasers to use the Multistate Tax Commission's Uniform Sales and Use Tax Certificate-Multijurisdiction. However, the use of this uniform certificate must be in conjunction with the telephonic or electronic authorization number method described in paragraph (3)(b) or (c) of this rule.

Specific Authority 212.07(1)(b), 212.17(6), 212.18(2), 213.06 (1) FS. Law Implemented 95.091(3), 212.02 (14), 212.05(1)(b), (j), 212.07(1), 212.085, 212.13(5)(c), (d), 212.17(6), 212.18(2), (3), 212.21(2), 213.053(10) FS, ss. 21, 22, 23, 24, Ch. 99-208, L.O.F. History-Revised 10-7-68, 1-7-70, 6-16-72, 9-26-77, Amended 7-20-82, 4-12-84, Formerly 12A-1.39, Amended 1-2-89, 9-14-93, 12-13-94, 10-2-01.